Neither capitalism nor socialism exists in the world as a pure replica of a theory. Rather, every modern society incorporates capitalist and socialist elements, just as every individual is capable of both selfish materialism and of caring about the needs of others.

Likewise, it makes little sense to ask whether capitalism or socialism "works" better. In the United States capitalism seems to work remarkably well: our standard of living is higher than anywhere else in the world. But other countries, just as capitalist as our own, are not faring so well. If we use Haiti or Rwanda as our measuring stick, capitalism seems to be quite a failure as an economic system. Conversely, a heavy dose of socialism has not doomed Sweden or Norway to economic collapse, nor to authoritarian excesses.

In a world historical view, what "works" best seems to be having been a colonial power, while what "works" worst is having been colonized. The former colonial powers, with ample resources, seem to be able to make a variety of economic and political models work successfully. The former colonies, with a history of foreign ownership and the export of primary goods, social and racial inequality, and authoritarian politics, have struggled mightily to achieve a better standard of living, a measure of social equality, and some kind of participatory political system. Despite experimentation with a large variety of economic and political forms, and numerous so-called economic miracles, no formula has yet been found that could reliably and effectively overcome this colonial legacy. The Argentinean sociologist Carlos M. Vilas wrote in 1990 that "although socialism is facing profound crisis, capitalism – whether flowering or in crisis – has been unable to handle the economic, social, and cultural problems of impoverishment, oppression, and marginalization of the rapidly-growing populations of what were once called developing societies."[18]

Despite his critique of capitalism's ability to function in the Third World, Vilas also takes a critical stance towards the manner in which socialism has developed there. Marx, he reminds us, imagined socialism – i.e., a state-controlled economy – as a stage that highly industrialized countries would pass through on the way to communism – when the state would "wither away" and the means of production (i.e., industry